

# Dolly Yu

Yale University, School of Management  
Email: [dolly.yu@yale.edu](mailto:dolly.yu@yale.edu) | Website: [dollyyu97.github.io](https://dollyyu97.github.io)

## EDUCATION

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**Yale University, School of Management, New Haven, CT** Expected May 2027  
PhD Candidate in Financial Economics at Yale University.  
Committee: James Choi (Chair), Boris Vallée, Paul Goldsmith-Pinkham, Andrew Metrick, David Argente

**Yale University, New Haven, CT** May 2019  
Master of Arts in International and Development Economics, High Distinction.

**University of Toronto, St. George Campus, Toronto, ON** June 2018  
Honours Bachelor of Science in Economics and Statistics, CGPA: 3.90/4.00.

## RESEARCH INTERESTS

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Household Finance, Financial Innovation, Financial Intermediation

## WORKING PAPERS

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**“The Shadow Cost of the Credit Limit: Payment Choice and Liquidity Hoarding” (Job Market Paper)**  
*with Jose Murillo (Primerio AI)*

We study the effect of a household's credit capacity on its preference for credit versus cash payments. Linking 1.5 million consumption records to each household's real-time credit position, we observe that as a household's credit utilization increases, it tends to use more cash, demonstrating a convex pattern. This convexity is consistent with a precautionary mechanism: the marginal value of available credit increases as capacity shrinks, resulting in a convex rise in the cost of credit for all households. Households carrying a balance incur additional interest costs and consequently use cash more frequently at every utilization level. Bank-initiated credit limit increases, which expand available credit without affecting the balance, causally decrease cash usage. Inverting the cash shares yields a monetary estimate of the cost: an additional dollar of credit incurs an average cost of 28 cents, with half of this cost attributed to the precautionary channel. Consequently, payment choice, when analyzed alongside the credit position at the transaction level, provides a direct measure of the shadow cost of drawing down borrowing capacity.

**“Fintech to the (Worker) Rescue: Earned Wage Access and Employee Retention”** [\[SSRN\]](#)  
*with Jose Murillo (Primerio AI) and Boris Vallée (INSEAD)*

We study the usage and welfare implications of earned wage access (EWA) using administrative and survey data from a Mexican FinTech provider. Adoption is significant, and usage concentrates at the end of the pay cycle. We develop a stationary buffer-stock framework, calibrated to the data, in which EWA provides liquidity insurance and consumption-timing alignment. Access is worth about 2.5% of a paycheck per year for the average user, and an order of magnitude more for impatient, low-liquidity workers. Automatic repayment makes these gains more robust to present bias than with revolving credit. EWA usage is associated with higher employee retention, as the framework implies.

**“Riding the Waves: Geographic Diversification and Bank Responses to Local Funding Shocks”**  
*with Wei Li (UIBE) and Mingmei Liu (JNU)*

*Best Paper Award, The 8th Asia Conference on Business and Economic Studies, 2026*

How resilient are banks to local funding shocks? We exploit a segment of Chinese wealth management products (WMPs) funded locally but backed by national assets, allowing us to isolate banks' strategic responses to local funding pressures. Using city-level inflation to characterize investor demand shifts, we find that banks pass through approximately 60% of these shocks to WMP yields. Large, geographically diversified banks respond more actively, by raising yields and contracting issuance in shock-hit markets more sharply than smaller banks. They then hedge by expanding the issuance of lower-yield WMPs in unaffected regions. Our findings reveal that for large banks, geographic diversification is not a tool for passive insulation but a mechanism enabling active, high-frequency liability management through their internal capital markets.

## WORK IN PROGRESS

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### **“The Economics of Rent-to-Own Housing”**

Documents product features and usage patterns of rent-to-own customers utilizing proprietary company data, and evaluates the optimality conditions for using rent-to-own contracts by calibrating a housing choice model.

### **“Mortgage Securitization and Housing Affordability”**

*with Daojing Zhai (Yale)*

Establishes the link between the rise of institutional investors in the single-family rental market and the small-dollar mortgage shortage, and discusses the falling convenience premium of private securitization as a channel in the post-crisis era.

## OTHER WRITING

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### **“A Case in Point: Shared Home Equity”** [\[HBS Publishing\]](#)

*with Boris Vallée, Daniel Green, and Sid Beaumaster (all HBS). Harvard Business School Case 221-026*

### **“Seso Global: Building a Blockchain-enabled Property Marketplace in Nigeria”** [\[HBS Publishing\]](#)

*with Boris Vallée (HBS). Harvard Business School Case 220-055*

## CONFERENCE AND SEMINAR PRESENTATIONS

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### **2026**

Asian Meeting of the Econometric Society\*

The 8th Asia Conference on Business and Economic Studies\*

Peking University FinTech Workshop\*

SGF Conference

Midwest Finance Association (MFA)

Yale Finance Lunch

### **2025**

Paris December Finance Meeting\*

European Winter Meeting of the Econometric Society (EWMES)\*

Sydney Banking and Financial Stability Conference\*

Yale Finance Lunch (x2)

### **2024**

Yale Finance Lunch (x2)

### **2023**

NBER Innovative Data in Household Finance

Yale Finance Lunch (x2)

### **2021**

HBS Brownbag\*

*\* Presented by co-author*

## HONORS AND AWARDS

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|----------------------------------------------------------------------------|------------------|
| PhD Fellowship, Yale University                                            | 2021 – present   |
| Best Paper Award, The 8th Asia Conference on Business and Economic Studies | 2026             |
| New College Council In-Course Scholarship, University of Toronto           | 2016             |
| Dean's List Scholar, University of Toronto                                 | 2015, 2016, 2018 |

## TEACHING EXPERIENCE

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### Teaching Fellow, Yale University

- Household Finance (PhD)
- Personal Finance (MBA)
- Fixed Income Securities I (MBA)
- Capital Markets (MBA)

## RESEARCH EXPERIENCE

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### Research Associate, Harvard Business School

07/2019 – 06/2021

*to Professor Boris Vallée and Jonas Heese*

Selected Research Acknowledgements:

“Can Security Design Foster Household Risk-Taking?” (Journal of Finance, 2023)

“FinTech Lending and Cashless Payments” (Journal of Finance, 2026)

## PROFESSIONAL EXPERIENCE

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### Summer Intern, Chang'an International Trust, Qingdao, China

05/2016 – 07/2016

## UNIVERSITY AND COMMUNITY SERVICE

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### Mentor, Economic Students' Association Mentorship Program

09/2017 – 05/2018

## REFERENCES AND DISSERTATION COMMITTEE

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### James Choi (Chair)

Professor of Finance

Yale University, School of Management

165 Whitney Avenue, New Haven, CT 06511

[jjchoi@gmail.com](mailto:jjchoi@gmail.com)

### Boris Vallée

Associate Professor of Finance

INSEAD

Boulevard de Constance, 77305 Fontainebleau, France

[boris.vallee@insead.edu](mailto:boris.vallee@insead.edu)

### Paul Goldsmith-Pinkham

Associate Professor of Finance

Yale University, School of Management

165 Whitney Avenue, New Haven, CT 06511

[paul.goldsmith-pinkham@yale.edu](mailto:paul.goldsmith-pinkham@yale.edu)

### Andrew Metrick

Janet L. Yellen Professor of Finance and Management

Yale University, School of Management

165 Whitney Avenue, New Haven, CT 06511

[andrew.metrick@yale.edu](mailto:andrew.metrick@yale.edu)

### David Argente

Assistant Professor of Economics

Yale University, School of Management

165 Whitney Avenue, New Haven, CT 06511

[david.argente@yale.edu](mailto:david.argente@yale.edu)